

YUGEN-PROPS MUN 2026- AIPPM

BACKGROUND GUIDE

AGENDA

Deliberation on the Impact of Foreign Contribution Regulations on NGOs and Civil Society Operations in India: Balancing National Security and Economic Growth, with Special Emphasis on the Foreign Contribution (Regulation) Amendment Bill, 2026.

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Greetings Delegates!

It is our distinct pleasure to welcome you to the All India Political Parties Meet (AIPPM), simulated as part of this year's conference.

AIPPM is not a standard conventional committee. It does not exist within the rigid confines of international diplomacy or structured parliamentary procedure, but rather in the raw, dynamic, and strategic realpolitik of Indian governance. In this simulation, you are tasked with navigating one of the most pressing policy crossroads of contemporary India: balancing national security imperatives with the operational realities of civil society and foreign contribution regulations.

As the Executive Board, our expectations extend beyond mere party posturing or reciting static manifesto lines. We do not expect you to simply echo your assigned politician's speeches; we expect you to master their ideology, internalize their political strategy, and execute their vision with conviction. Standout delegates will be those who dissect complex legislative frameworks, project long-term economic and security outcomes, and drive actionable policy solutions that reflect the nuance of Indian democracy.

This Background Guide is crafted as a foundational framework to anchor your preliminary research. It outlines the legislative trajectory, historical precedents, and judicial landmark cases surrounding the agenda. However, this guide should mark the beginning of your preparation, not its limit. We urge you to look beyond these pages, interrogate primary legal sources, examine intelligence perspectives, and bring fresh, analytical insights to the floor.

In AIPPM, quoting statutes and judicial citations alone will not suffice. What matters is your ability to interpret the law, articulate its real-world ramifications, and leverage policy arguments to advance your political agenda. We encourage an active, sharp, and responsive committee dynamic. Listen closely to your peers, identify flaws in their arguments, use their statements to build counter-perspectives, and maintain command over the floor. Crucially, vigorous political debate must always be paired with absolute mutual respect.

Above all, remember that this committee is an educational platform designed to challenge your analytical thinking, public policy acumen, and parliamentary debate skills. We are confident that this simulation will prove to be an intellectually rigorous and memorable experience for each of you. We look forward to a high-caliber debate.

Warm Regards,

EB-AIPPM

G.Charan Krishna Tejh
(Speaker)

Tanish Manem
(Deputy Speaker)

Bani Saxena
(Scribe)

Rishit Balakrishnan
(Scribe)

INTRODUCTION TO THE AGENDA

The relationship between foreign capital, non-governmental organizations, and state sovereignty remains one of the most vital policy debates in modern Indian governance. Non-governmental organizations and civil society organizations play an essential role in bridging delivery gaps in social welfare, environmental advocacy, public health, human rights, and educational empowerment. However, the inflow of foreign financial contributions into domestic political and voluntary spheres presents complex questions regarding state sovereignty, national security, and regulatory oversight. The central objective of this committee is to analyze how regulation of foreign funds under the Foreign Contribution Regulation Act balances the sovereign imperative of safeguarding national security with the socioeconomic necessity of fostering vibrant civil society operations and economic growth.

Foreign contributions to civil society organizations have grown exponentially over the past few decades. While a significant portion of these funds supports grassroots community development and poverty alleviation, intelligence agencies and state authorities have repeatedly flagged concerns regarding political covert funding, religious proselytization, organized protests against major national infrastructure projects, and external geopolitical interference. India, as a developing democracy, faces a delicate equilibrium. On one side stands the commitment to democratic pluralism and constitutional rights guaranteed under Article 19, which encompasses freedom of expression and association. On the other side stands the fundamental duty of the sovereign state to protect democratic institutions from foreign influence and ensure financial transparency across all financial conduits.

The Foreign Contribution Regulation Amendment Bill of 2026 marks a decisive milestone in this legislative trajectory. Building upon the structural changes introduced in 1976, 2010, and 2020, the 2026 legislative framework addresses unresolved issues regarding the management, vesting, and disposal of foreign contributions and assets belonging to entities whose FCRA registrations cease, expire, or face cancellation. As delegates of various political parties assemble in this All India Political Parties Meet, the debate requires an objective analysis of legal precedents, security intelligence considerations, operational challenges faced by non-profits, and the overall macroeconomic implications of foreign regulatory policies.

HISTORY OF FOREIGN CONTRIBUTIONS IN INDIA AND POLITICAL EVOLUTION

The history of foreign contribution regulation in India is deeply intertwined with the geopolitical challenges of the Cold War era and internal security dynamics. During the late 1960s and early 1970s, national security agencies reported heightened risks of foreign covert influence infiltrating Indian parliamentary politics, election campaigns, academic institutions, and media publications. Intelligence assessments highlighted instances where external agencies funneled financial resources to domestic political actors, labor unions, and publications to influence national policy outcomes. In response to these vulnerabilities, Parliament enacted the original Foreign Contribution Regulation Act in 1976 during the Emergency period. The primary objective of the 1976 statute was to prohibit political parties, candidates, journalists, judges, and government servants from accepting foreign hospitality or financial support, thereby insulating democratic processes from covert external manipulation.

As the Indian economy expanded following the 1991 economic liberalization, the voluntary sector underwent a profound transformation. Non-governmental organizations increasingly evolved from localized charitable societies into highly professionalized entities capable of executing large scale development projects funded by international philanthropic foundations, multilateral institutions, and foreign governments. Recognizing the dramatic increase in cross border financial inflows and the emergence of potential regulatory loopholes, Parliament repealed the 1976 statute and enacted the Foreign Contribution Regulation Act of 2010. The 2010 Act consolidated the regulatory framework by introducing mandatory registration validity periods of five years, restricting the administrative expenditure of foreign funds to fifty percent, prohibiting political organizations from accepting foreign donations, and empowering the Ministry of Home Affairs to oversee compliance.

The political consensus surrounding foreign contributions continued to shift dramatically over the subsequent decade. State agencies raised concerns that certain foreign funded non-governmental organizations were actively participating in campaigns aimed at stalling key industrial, energy, and infrastructure development projects. Reports highlighted coordinated opposition to nuclear power plants, mining initiatives, and industrial corridors, alleging that foreign funding sources were seeking to impede Indian economic competitiveness. Conversely, civil society representatives

argued that foreign contributions were indispensable for filling critical state gaps in rural healthcare, emergency disaster response, primary education, and marginal community rights advocacy. This ongoing tension between state security concerns and voluntary sector autonomy set the stage for major statutory amendments in 2020 and 2026.

LEGAL ANALYSIS AND JUDICIAL PRECEDENTS

The constitutional validity and statutory interpretation of foreign contribution regulations have been extensively adjudicated by the Supreme Court of India and various High Courts. A foundational ruling in this jurisprudence is the Supreme Court judgment in *Indian Social Action Forum*, commonly known as *INSAF*, versus *Union of India* in 2020. The petitioner challenged Section 5 of the 2010 Act and Rule 3 of the 2011 Rules, which permitted the central government to designate voluntary organizations as organizations of a political nature. The Supreme Court upheld the constitutionality of Section 5, holding that the statutory objective of preventing foreign influence in domestic affairs was legitimate. However, to prevent arbitrary state action, the Apex Court read down Rule 3. The Court held that voluntary organizations that habitually employ common methods of political action, such as public demonstrations or strikes, cannot be classified as political organizations unless they are directly linked to active party politics or political power struggles.

The definitive landmark ruling on the 2020 FCRA statutory amendments arrived in the case of *Noel Harper versus Union of India* in April 2022. In this case, a bench of the Supreme Court comprising Justice A. M. Khanwilkar, Justice Dinesh Maheshwari, and Justice C. T. Ravikumar upheld the constitutional validity of the 2020 amendments. The Court explicitly declared that no citizen or organization holds a fundamental right under the Constitution to receive foreign contributions or foreign grants. The Court observed that foreign contributions possess the inherent potential to materially alter the socioeconomic fabric and political stability of the nation. Consequently, the Court held that state regulations restricting foreign funding inflows to a minimal and strictly monitored level were proportional, necessary, and justified under the public order and national security exceptions of Article 19 of the Constitution.

High Court judgments have also shaped operational jurisprudence regarding FCRA compliance and administrative actions. In several matters before the Delhi High Court and the Bombay High Court, such as those involving prominent civil society

organizations including Greenpeace India and Lawyers Collective, the courts scrutinized administrative orders issued by the Ministry of Home Affairs suspending or canceling FCRA certificates. While recognizing the executive power to regulate foreign funds, High Courts have repeatedly ruled that administrative orders freezing bank accounts or revoking registrations must strictly adhere to the principles of natural justice. The judiciary has affirmed that affected non-governmental organizations must be provided adequate notice, specific reasons for suspension, and a fair opportunity to present their defence before final cancellation orders are executed.

Here are the major landmark Supreme Court and High Court judgments related to the Foreign Contribution (Regulation) Act (FCRA) along with brief explanations:

SUPREME COURT LANDMARK CASES

1. Noel Harper & Ors. v. Union of India (2022)

Context Multiple non-governmental organizations challenged the constitutional validity of the 2020 FCRA amendments, including the total prohibition on sub-granting/transferring foreign funds to other entities (Section 7), the cap on administrative expenses reduced to 20% (Section 8), and the mandatory requirement to route all foreign contributions through a single designated SBI branch in New Delhi (Section 17).

Decision: A three-judge bench of the Supreme Court upheld the constitutional validity of the 2020 statutory amendments. The Court held that no citizen or organization possesses a fundamental right under Article 19 to receive foreign contributions or grants. The Apex Court ruled that foreign capital can materially alter the socioeconomic structure and political stability of the nation; hence, strict government oversight and minimal foreign funding inflows are justified under national security exceptions. However, the Court read down Section 12A, permitting office-bearers to present passports as valid identification instead of mandating Aadhaar cards alone.

2. Indian Social Action Forum (INSAF) v. Union of India (2020)

Context: INSAF challenged Section 5(1) and Section 5(4) of the FCRA 2010 along with Rule 3 of the 2011 Rules. These provisions empowered the Central Government to designate non-political civil society organizations as "organizations of a political nature" and bar them from receiving foreign contributions if they engaged in public agitations, strikes, or demonstrations.

Decision: The Supreme Court upheld the constitutionality of Section 5, affirming the sovereign objective of preventing foreign influence in domestic

politics. However, to prevent arbitrary state action, the Court applied the doctrine of "reading down" to Rule 3. It ruled that a voluntary organization cannot be declared a political organization merely for adopting traditional methods of civil agitation or protest unless it is directly involved in active party politics or political power struggles.

HIGH COURT LANDMARK CASES

3. Association for Democratic Reforms (ADR) v. Union of India (2014) – Delhi High Court

Context: ADR filed a public interest litigation alleging that major national political parties accepted financial contributions from Indian registered companies (such as Sterlite Industries and Sesa Goa) that were subsidiaries of a foreign parent company (Vedanta Resources), violating FCRA provisions.

Decision: The Delhi High Court held both national political parties guilty of violating statutory prohibitions under FCRA 1976/2010. The Court ruled that donations from Indian entities with majority foreign ownership constitute a "foreign source". This judgment prompted Parliament to introduce retrospective amendments to the definition of "foreign source" via the Finance Acts of 2016 and 2018, exempting Indian companies with foreign shareholding compliant with FDI limits from FCRA restrictions.

4. Priya Parameswaran Pillai v. Union of India (2015) – Delhi High Court

Context: Greenpeace India campaigner Priya Pillai was offloaded from an international flight by immigration authorities based on a "Look Out Circular" issued by executive agencies, preventing her from testifying before a British parliamentary committee regarding environmental impacts in coal fields.

Decision: The Delhi High Court quashed the Look Out Circular and set aside the government's action. The Court affirmed that dissenting opinions expressed by civil society members, even on international forums regarding state policy, do not inherently amount to anti-national activities or justify restricting constitutional rights under Article 19(1)(a).

5. Greenpeace India Society v. Union of India (2015) – Delhi High Court

Context: The Ministry of Home Affairs suspended Greenpeace India's FCRA registration and froze its designated bank accounts citing procedural compliance violations and anti-development advocacy.

Decision: The Delhi High Court unblocked the organization's domestic and foreign accounts to allow day-to-day operational expenses. The Court emphasized that while the government possesses statutory powers to

investigate and enforce compliance under FCRA, administrative freezing of funds without granting adequate notice or a fair hearing violates the principles of natural justice.

POLICY NUANCE OF FCRA, 2020 AMENDMENTS, AND THE NEW AMENDMENT BILL 2026.

The statutory architecture of the Foreign Contribution Regulation Act establishes a stringent dual condition mechanism comprising prior permission and registration. Under the framework established in 2010 and heavily modified by the 2020 statutory amendments, any organization seeking foreign funding must obtain a designated registration certificate from the Ministry of Home Affairs or secure prior permission for specific foreign contributions. The 2020 Amendments introduced three transformative changes. First, Section 7 was amended to impose a complete ban on sub granting or transferring foreign funds from an FCRA registered entity to any other organization or person, even if the receiving entity was also fully registered under FCRA. Second, Section 8 reduced the maximum permissible cap on administrative expenses funded through foreign contributions from fifty percent to twenty percent. Third, Section 17 mandated that all primary foreign contribution accounts must be opened exclusively at the main branch of the State Bank of India in New Delhi.

The Foreign Contribution Regulation Amendment Bill of 2026 introduces a specialized institutional and statutory legal framework to manage the fallout of expired, surrendered, or revoked FCRA certificates. Under the pre existing statutory framework, significant ambiguity existed regarding the legal ownership, custody, and management of unutilized foreign funds and physical assets created through foreign funds after an entity lost its FCRA registration. The 2026 Bill addresses this gap by creating a Designated Authority empowered with statutory powers for the vesting, supervision, custody, and eventual management or disposal of foreign contributions and assets acquired via foreign funds when an organization ceases to possess a valid FCRA certificate.

A crucial dimension of the 2026 legislative framework concerns asset management, exit conditions, and penalty rationalization. Under the provisions of the 2026 Bill, when an organization surrenders its registration, fails to apply for renewal, or has its certificate canceled by executive order, all unspent foreign funds and assets acquired through foreign contributions vest in the Designated Authority. The Bill explicitly

mandates that if the asset in question constitutes a place of worship, the Designated Authority must maintain its distinct religious character while managing the property. Furthermore, the 2026 legislative reform rationalizes statutory penal provisions by reducing the maximum imprisonment term for specified procedural violations from five years down to one year, aligning penalty structures with broader economic law reforms. Simultaneously, corresponding 2026 statutory rules introduce structured compliance schedules, requiring entities to fulfill mandatory minimum spending thresholds and detailed activity classifications across educational, cultural, social, economic, and religious categories.

ECONOMIC IMPACT ANALYSIS AND DEVELOPMENTAL DYNAMICS

The economic consequences of foreign contribution regulations represent a complex debate in India, intersecting macro level foreign capital flows and micro level rural development. According to Ministry of Home Affairs data, registered associations in India receive thousands of crores in foreign contributions annually, funding critical social development projects. Foreign grants constitute a vital non state financial resource for rural public health, primary education, disaster relief operations, and clean energy transition programs.

However, the statutory reduction of administrative expenses from fifty percent down to twenty percent under Section 8 of the FCRA framework has altered the operational capacity of civil society organizations. Specialized research institutes, legal advocacy funds, and policy think tanks operate on models where human capital, expert salary compensation, and field research constitute the vast majority of expenditure. Classifying these research and operational costs under administrative overhead limits the capability of expert institutions to utilize foreign research grants effectively. Conversely, the government argues that restricting administrative overhead ensures that foreign philanthropic capital reaches intended grassroots beneficiaries directly rather than being absorbed by urban administrative overheads.

Furthermore, economic assessments conducted by state security bodies have analyzed how targeted foreign funding can negatively impact national growth trajectories. Government intelligence reports have previously argued that foreign funded campaigns targeting industrial projects, mining concessions, and nuclear power developments could create artificial delays that lower potential GDP growth. This friction between civil society environmental oversight and state driven infrastructure

acceleration remains a fundamental focal point for political party representatives at the All India Political Parties Meet.

POLITICAL PARTY STANDS, ELECTORAL FINANCING, AND RETROSPECTIVE AMENDMENTS

The relationship between political parties, corporate foreign subsidiaries, and FCRA regulations has produced significant political debate over the last decade. Under the original FCRA framework, political parties and their office bearers were strictly prohibited from receiving foreign contributions, directly or indirectly. However, complex ownership structures of multinational corporations operating in India led to major legal challenges regarding corporate political donations.

In 2014, the Delhi High Court delivered a landmark judgment in the case of Association for Democratic Reforms versus Union of India. The court found major national political parties guilty of accepting donations from Indian companies that were subsidiaries of foreign parent entities, holding that such contributions violated statutory FCRA provisions. In response to this judicial declaration, Parliament enacted retrospective amendments through the Finance Act of 2016 and the Finance Act of 2018. These amendments redefined the statutory term foreign source, ensuring that donations from Indian registered companies with foreign shareholding exceeding fifty percent would no longer be treated as foreign contributions provided their foreign direct investment complied with FEMA limits.

This retrospective legislative intervention sparked intense political debate across party lines. Opposition political parties and civil society advocates argued that amending definition clauses retrospectively created an asymmetrical regulatory regime where political parties exempted themselves from restrictions that continued to apply strictly to non profit civil society organizations. On the other hand, ruling party representatives maintained that the amendment simply corrected a technical ambiguity, allowing Indian registered corporate entities operating within domestic markets to participate in legitimate corporate social responsibility and democratic donation channels.

SECURITY INTELLIGENCE ASSESSMENTS AND OPERATIONAL CASE STUDIES

The imperative for stringent foreign funding oversight is supported by multiple intelligence assessments detailing foreign covert activity within Indian territorial jurisdiction. State security agencies, including the Intelligence Bureau, have submitted reports highlighting how foreign entities have utilized non governmental organizations as proxy fronts to influence domestic policy agendas, delay infrastructure expansion, and alter regional demographic patterns through organized proselytization.

A prominent case study frequently cited by security analysts involves the public protests surrounding the Kudankulam Nuclear Power Plant in Tamil Nadu. Government investigations revealed that several local non profit groups organizing long term blockades against the commissioning of the nuclear facility received substantial foreign funds under the guise of environmental protection and social welfare. Authorities established that a portion of these funds was diverted to sustain political agitation that effectively stalled national energy security projects for several years.

Similarly, intelligence agencies have monitored financial flows directed toward radicalization and unmonitored conversion activities in sensitive border states and tribal belts. In response to these operational security challenges, the Ministry of Home Affairs intensified FCRA compliance monitoring, resulting in the cancellation or suspension of thousands of FCRA licenses. Authorities maintain that stringent oversight, mandatory SBI bank accounts in New Delhi, and digital financial tracking are essential tools to prevent external state and non state actors from compromising India's sovereignty, economic stability, and internal harmony.

Questions to be addressed by Members during research

1. **Constitutional Rights:** How does restricting foreign funds align with Article 19(2) national security exceptions versus Article 19(1)(a) and (c) rights to expression and association?
2. **Economic Impact:** Do FCRA restrictions hurt macro-level growth and civil society policy research, or do they protect economic sovereignty from foreign interference?
3. **National Security:** What intelligence evidence justifies strict oversight over foreign funds regarding covert political funding, infrastructure protests, and proselytization?
4. **Asset Vesting (2026 Bill):** How does creating a "Designated Authority" to take over assets of canceled or expired NGOs impact property rights and voluntary sector exit options?
5. **Natural Justice:** Are current show-cause and cancellation procedures administratively fair, and is a dedicated FCRA appellate tribunal necessary?
6. **Sub-Granting Ban (Sec 7):** How has the complete ban on transferring foreign funds to other entities affected smaller grassroots NGOs operating in remote areas?
7. **20% Admin Overhead Cap (Sec 8):** Does capping administrative expenses at 20% hamper research-heavy think tanks whose primary costs are professional salaries?
8. **Electoral Integrity:** How do retrospective definitions of "foreign source" for political parties compare with the strict funding rules imposed on NGOs?
9. **Centralized Banking (Sec 17):** Does routing all primary foreign contribution accounts exclusively through the SBI main branch in New Delhi cause operational delays for regional NGOs?
10. **Global Alignment:** How does India's FCRA compare with international standards like FATF Recommendation 8, US FARA, or Australia's foreign transparency scheme?

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